

Fraud Investigation Policy (FP-214)

1. Purpose

This policy defines the standard process for investigating potentially fraudulent card transactions. The objective is to provide consistent, explainable, and auditable recommendations while ensuring that a human analyst remains the final decision maker.

2. High-Risk Indicators

- Transaction amount exceeds customer's historical maximum.
- Transaction originates from an unknown device.
- Transaction occurs outside the customer's normal geographic region.
- High-risk merchant category.
- Multiple declined attempts in a short period.

3. Investigation Guidance

When two or more high-risk indicators are present, the transaction should be flagged for manual review. If the amount exceeds \$2,000 and the device is unknown, recommend step-up authentication before approval.

4. Decision Guidance

Possible recommendations include Approve, Decline Transaction, Escalate for Manual Review, or Request Customer Verification.

5. Example Reference

FP-214 Section 5.3: Transactions above \$2,000 originating from an unknown device require step-up authentication before approval.